ICAP Strategic Case Study - Summer 2026

Predicted Paper # 2 - Suggested Answers

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Question 1

Question 1(a) - Strategic alliances with hotels, airlines, tourism operators and corporate travel managers (10 marks)

KMCH should not view strategic alliances merely as a marketing arrangement. If structured properly, alliances can support its premium mobility strategy, improve utilisation and provide access to high-value customers without requiring the same level of capital expenditure as new depots or fleet expansion. However, the Board should also recognise that alliances create service-level obligations and may expose KMCH to reputational risk if execution is weak.

Strategic benefits

- Access to premium customers: Five-star hotels, airlines and corporate travel managers serve customers who are likely to value punctuality, cleanliness, trained chauffeurs and transparent billing. This fits KMCH's premium positioning better than competing for price-sensitive walk-in rentals.
- Higher utilisation with lower customer acquisition cost: Partnerships can generate repeat airport transfers, executive transport and tourist bookings. This can improve utilisation of existing premium vehicles and the proposed EV/hybrid fleet without the same level of advertising spend required for individual customers.
- Differentiation from local operators: Hotels currently use small local operators with inconsistent service quality. A formal preferred mobility partner model could allow KMCH to differentiate on service reliability, safety, digital booking and billing controls.
- Support for EV / hybrid pilot: Corporate and hotel customers may be more receptive to a premium ESG mobility product. Alliances can create a controlled customer base for the EV/hybrid pilot rather than launching it broadly to the mass market.
- Cross-selling and data benefits: Alliance contracts can create data on customer journeys, airport transfer times, repeat corporate users and seasonal tourist demand. This can improve pricing, fleet allocation and future expansion decisions.

Strategic and operational risks

- Service-level obligations: Hotels and airlines may require guaranteed vehicle availability, punctual pickup, complaint resolution times and penalty clauses. If KMCH cannot meet these consistently, penalties and reputation damage may exceed the benefits.
- Brand-sharing risk: A service failure may damage not only the partner relationship but also KMCH's premium brand. A late airport pickup for a business-class passenger or hotel guest would be more visible than an ordinary retail rental failure.
- Customer concentration risk: Dependence on a few large hotel, airline or corporate travel partners may weaken KMCH's bargaining power and create revenue volatility if a major partner exits.
- Operational strain: Depot managers are already focused on daily operations. Partner commitments require better coordination between sales, fleet, operations, chauffeurs, customer service and billing.

- Contract pricing risk: If partner contracts are priced too aggressively to win market share, KMCH may lock itself into low-margin service commitments while bearing fuel, maintenance, overtime and replacement-vehicle costs.

Conclusion

KMCH should pursue strategic alliances selectively, starting with a small number of high-quality partners in Karachi and Lahore where route distances, vehicle availability and service standards can be controlled. The Board should require formal service-level agreements, profitability analysis by partner, complaint reporting and responsibility for partnership management before contracts are signed.

Additional safeguards before signing alliances: KMCH should not enter into broad preferred-partner arrangements until it has agreed partner-specific service levels, minimum vehicle availability, billing reconciliation procedures, complaint escalation rules, brand usage restrictions and termination rights. The agreements should also avoid exclusivity unless the partner can provide committed volume or minimum revenue. This is important because the pre-seen shows KMCH already faces service-quality and utilisation pressures; alliances should improve utilisation without creating uncontrolled service obligations.

Question 1(b) - NPV of the EV / hybrid pilot (14 marks)

The base case NPV is calculated below using the Finance Director's 15% discount rate. Tax is assumed to be paid one year in arrears. Working capital is based on 5% of incremental rental revenue and is released at the end of year 5.

Step 1: Operating cash flows before tax

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Incremental rental revenue	198.0	220.0	242.0	264.0	286.0
Fuel and maintenance savings	64.0	70.0	76.0	82.0	88.0
Additional operating costs	(48.0)	(53.0)	(58.0)	(63.0)	(68.0)
Operating cash flow before tax	214.0	237.0	260.0	283.0	306.0

Step 2: Tax depreciation and tax payable

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Opening tax written-down value	729.0	546.8	410.1	307.5	230.7
Tax depreciation @ 25% reducing balance	(182.3)	(136.7)	(102.5)	(76.9)	(230.7)
Closing tax written-down value before disposal	546.8	410.1	307.5	230.7	-
Disposal proceeds / residual value	-	-	-	-	328.0
Taxable profit before tax (Operating cashflow – Tax dep + Gain on sale)	31.8	100.3	157.5	206.1	403.3
Tax @ 29% (paid one year in arrears)	9.2	29.1	45.7	59.8	117.0

Step 3: Discounted cash-flow appraisal

Rs million	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Initial investment*	(759.0)	-	-	-	-	-	-
Working capital movement	(9.9)	(1.1)	(1.1)	(1.1)	(1.1)	14.3	-
Operating	-	214.0	237.0	260.0	283.0	306.0	-

Rs million	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
cash flows							
Green-mobility grant	-	45.0	-	-	-	-	-
Tax paid one year in arrears	-	-	(9.2)	(29.1)	(45.7)	(59.8)	(117.0)
Residual value	-	-	-	-	-	328.0	-
Net cash flow	(768.9)	257.9	226.7	229.8	236.2	588.5	(117.0)
Discount factor @ 15%	1.000	0.870	0.756	0.658	0.572	0.497	0.432
Present value	(768.9)	224.3	171.4	151.2	135.1	292.6	(50.6)
NPV							155.1

* Initial investment = (40 x 11.8) + (10 x 18.5) + 72 + 22 + 8 = 759

Commentary on NPV

Overall, the NPV is positive at approximately Rs 155 million. On a purely financial basis, this indicates that the EV / hybrid pilot is expected to generate value after recovering the initial investment, working capital commitment, tax payments and the required 15% return. Therefore, the base case supports proceeding with the project in principle.

However, the Board should treat this as an initial appraisal rather than automatic approval for a full roll-out. The positive NPV depends heavily on premium utilisation, vehicle availability, customer willingness to pay for an ESG mobility product, cost savings compared with ICE vehicles, residual values, charging readiness, tax treatment and receipt of the Rs 45 million green-mobility grant.

The project also creates short-term liquidity pressure. Incremental rental revenue will increase receivables and operating working capital, while KMCH is already considering other capital-intensive projects. Even a profitable project may strain cash flows if corporate customers are slow to pay or if input tax adjustments, refunds or grant recovery are delayed.

The year 5 residual value of Rs 328 million is a significant contributor to the NPV. This should not be treated as guaranteed because Pakistan's used-EV market is still developing and resale values may be affected by battery condition, technological changes and buyer confidence. Similarly, the Rs 45 million grant is conditional on KMCH maintaining at least 80% vehicle availability and submitting verified energy-consumption data. These conditions require strong operational discipline, reliable reporting and proper documentation.

The expected fuel and maintenance savings are strategically relevant because they address the Finance Director's concern about rising fuel, spare parts and maintenance costs. However, these savings are not risk-free. Higher tyre wear, battery-related costs, specialist labour, charger downtime and warranty exclusions may reduce the expected advantage over ICE vehicles.

The grant treatment should also be verified by the Tax Manager. It should not be assumed tax-free without confirmation; it may be treated as taxable income, a capital subsidy reducing the tax base, or subject to specific conditions under the relevant scheme.

In addition, the 15% rate is not risk adjusted and the applicable discount rate may increase thereby reducing the NPV result from the project.

In conclusion, the project is financially attractive in the base case, but KMCH should proceed through a controlled pilot with milestone reviews rather than a full roll-out. Approval should be conditional on validating customer demand, charging readiness, vehicle availability, residual-value assumptions, grant eligibility, discount rate risk adjustment and tax / documentation treatment.

Question 1(c) - Sensitivity of the EV / hybrid pilot (8 marks)

Scenario	Calculation
EV utilisation 10% lower	Rental revenue reduced by 10% in each year; tax and working capital recalculated on lower revenue.
Fuel and maintenance savings 15% lower	Annual savings reduced to 85% of forecast: Rs 54.4m, Rs 59.5m, Rs 64.6m, Rs 69.7m and Rs 74.8m.
Residual value 20% lower	Residual value reduced from Rs 328m to Rs 262.4m; balancing charge and final-year tax also recalculated.
Charging / electricity cost higher	Additional operating costs increased by Rs 5.5m, Rs 6.0m, Rs 6.5m, Rs 7.0m and Rs 7.5m respectively.

The Finance Director is correct to warn that the Board should not rely only on the base case NPV. The following sensitivity analysis indicates how much value could be lost if key assumptions prove optimistic.

Rs m	Revised NPV after impact	Reduction in NPV	Interpretation
Base case	155.0	-	Project appears financially viable at 15% discount rate.
EV utilisation 10% lower than base case	96.5	58.5	Largest tested sensitivity. Lower allocation of EVs to chargeable bookings significantly weakens incremental rental revenue and working capital needs.
Fuel and maintenance savings 15% lower	127.0	28.0	Project remains positive, but expected cost advantage over ICE vehicles becomes less compelling.
Residual value 20% lower	130.6	24.4	Project remains viable, but residual value uncertainty is important because year 5 disposal value is a major cash inflow.
Charging/electricity-related costs higher by Rs 5.5m to Rs 7.5m per year	139.0	15.9	Impact is lower than utilisation risk, but still reduces value and may worsen if charging tariffs or backup generation costs rise further.

Higher charging and electricity costs have the smallest individual impact in the table, but they may combine with other risks. For example, generator backup during outages could increase costs and weaken the environmental claim at the same time. The Board should consider combined downside scenarios, not just individual sensitivities.

Residual value risk is particularly important because the used-EV market in Pakistan is still developing. Rapid battery technology changes, weak buyer confidence or lack of battery-health certification could reduce disposal proceeds. KMCH should therefore negotiate buy-back support, battery-health records or guaranteed residual arrangements where possible.

Lower fuel and maintenance savings would suggest that the expected cost advantage over ICE vehicles is overstated. This may happen if battery warranty exclusions, higher tyre wear, specialist diagnostic costs, or imported spare parts reduce the savings. The Board should ask whether the savings have been benchmarked against local operating data rather than supplier estimates only.

Utilisation risk is the most critical sensitivity because it affects both revenue and the strategic credibility of the EV product. Low utilisation may arise if depot teams avoid allocating EVs due to range anxiety, if corporate customers do not confirm bookings, or if charging slots are not available at the right time. This would indicate not only financial underperformance but also weak operational readiness.

Conclusion:

Even though the NPV remains positive in the individual downside scenarios, the Board should consider that adverse assumptions may occur together. For example, if lower utilisation is combined with weaker residual values and lower cost savings, the project could become marginal or negative.

The sensitivity confirms that the project should not be marketed too widely before operating teams are comfortable allocating EVs. Range anxiety, charging inconvenience and lack of depot readiness could reduce utilisation and destroy much of the expected value.

The Board should require a pilot structure with milestone reviews, minimum utilisation targets, battery-health reporting, charging-cost monitoring, and a clear exit or scale-down option if actual results fall materially below the base case.

Question 2

Question 2(a) - Vendor financing compared with bank debt and leasing (10 marks)

Tax rate is 29%. Post-tax cost assumes finance cost / lease rentals are tax-deductible where applicable; actual treatment should be confirmed by tax advice.

Vehicle cost = 40 EV sedans × Rs 11.8m + 10 hybrid SUVs × Rs 18.5m = Rs 657m

Vendor financing is only for 60% of vehicle cost. For operating lease, the comparison is against avoided upfront vehicle purchase cost, but KMCH gives up residual value of vehicles at the end of Year 5

Funding alternative	**Cash flow basis**	**Pre-tax IRR / cost**	**Post-tax IRR / cost**
Vendor financing	60% of vehicle cost = Rs 394.2m. Immediate deposit = Rs 39.42m. Net financed amount = Rs 354.78m. Annual instalments = Rs 101m for 5 years.	13.05%	9.27%
Bank term loan	Assume loan proceeds net of 1% arrangement fee = Rs 99 for every Rs 100 borrowed. Annual interest = 17.5%. Principal repaid at maturity.	17.82%	12.71%
Operating lease	Avoided vehicle purchase cost = Rs 657m. Annual lease rental = Rs 168m for 5 years. KMCH gives up residual value of Rs 310m at end of Year 5.	18.22%	9.40% (taking tax on lease rentals) 12.94% (applying 1-T on pre-tax IRR)*
Retained earnings / internal cash	No explicit contractual payments. Opportunity cost should be based on shareholders' required return / KMCH's hurdle rate.	Approx. 15% opportunity cost, if Board hurdle rate is used	

** Note the taxation of lease has downside risk since asset depreciation is not allowable in lease therefore using the 9.4% rate is perhaps an over optimistic view and 12.94% is the correct implied cost of this finance.*

On pure post-tax financing cost, vendor financing and operating lease appear cheaper than bank debt. However, the Board should not decide only on IRR / cost. The financing choice should also consider flexibility, operational support, asset control, covenants, cash-flow impact and risk allocation.

Vendor financing is attractive because it provides battery warranty support and priority spare-parts access, which is important for a new EV pilot. However, it finances only 60% of vehicle cost and does not cover charging infrastructure, telematics integration or training. Title remains with the distributor until final payment, and the 6% early exit penalty reduces flexibility if the pilot underperforms.

Bank debt gives KMCH ownership and may be more flexible for funding non-vehicle costs such as chargers and IT integration. However, the fixed rate of 17.5% is high, and the bank's security and minimum interest-cover covenant may restrict KMCH's ability to fund other projects such as Islamabad expansion, IT upgrade and depot restructuring.

Operating lease reduces residual-value and maintenance risk, which is useful because Pakistan's used-EV market is still uncertain. However, the mileage cap and return-condition requirements may be problematic for a vehicle-hire business. If utilisation is strong, excess mileage charges could make the lease expensive.

Retained earnings avoids lender covenants and finance costs, but it is not free finance. It consumes scarce cash and may crowd out other strategic projects. It does not offer any tax shield but on a positive note, there would be no lender covenants as well.

Conclusion: No single option is ideal. A blended structure appears most appropriate: use vendor financing for part of the specialised EV fleet because of warranty and spare-parts support, and smaller bank loan for charging infrastructure, telematics and training. KMCH should avoid a full operating lease commitment until utilisation, mileage and residual-value assumptions are proven.

Workings:

Vendor financing calculation	**Rs m**
Vehicle cost	657.00
Financed by vendor - 60%	394.20
Immediate deposit - 10% of financed amount	(39.42)
Net finance received	354.78
Annual instalment for five years	(101.00)
Pre-tax IRR on net finance	13.05%
Post-tax cost: 13.05% × 71%	9.27%
Bank loan calculation	**Rs**
Gross borrowing	100.00
Arrangement fee - 1%	(1.00)
Net proceeds	99.00
Annual interest	(17.50)
Year 5 principal repayment	(100.00)
Pre-tax IRR	17.82%
Post-tax IRR	12.65%
Operating lease calculation	**Rs m**
Avoided upfront vehicle purchase cost	657.00
Annual lease rentals for five years	(168.00)

Lost vehicle residual value at Year 5	(310.00)
Pre-tax IRR	18.22%
Post-tax IRR (using IRR of 657m upfront value, post-tax lease rentals over 5 years and 5th year RV of 310m)	9.40%
Post-tax IRR	12.94%

Question 2(b) - Operational challenges of EV adoption in Pakistan (8 marks)

EV adoption changes KMCH's operating model. The operational risk is not limited to buying vehicles; the business must be able to deliver premium reliability using a technology that is still developing locally.

- Charging infrastructure and reliability: EVs must be deployed on routes with predictable distance and reliable depot or partner charging. Power outages and limited public charging coverage could cause booking delays or cancelled trips.
- Battery health and range management: Battery state of health, charging behaviour, range, driver behaviour and charger downtime must be monitored. The current telematics platform does not provide a consolidated dashboard for these metrics.
- Technician capability and spare parts: EVs require specialist diagnosis, battery safety procedures and different maintenance skills. Delays in spare parts could increase downtime and reduce availability.
- Driver and chauffeur training: Chauffeurs must be trained in efficient driving, charging discipline, customer communication, emergency response and dealing with range-related complaints.
- Customer service risk: Premium customers will expect the EV service to be as reliable as ICE vehicles. A failed airport transfer or executive trip would damage KMCH's premium brand more than a delayed mass-market rental.
- Insurance and safety protocols: Insurance arrangements may need to cover battery risk, charging incidents, roadside recovery, specialised repairs and potential higher replacement cost.
- Route selection: KMCH should initially avoid long-distance northern routes and deploy EVs only for airport transfers, corporate leasing and predictable city routes, as stated in the proposal.
- Vendor dependence: KMCH may depend heavily on the EV distributor for warranty support, diagnostics and spare parts. Service-level agreements are necessary.

Overall, EV adoption should be implemented as a controlled pilot with restricted routes, service standards, charging SOPs, training, vendor SLAs and Board-level monitoring.

Question 2(c) - Organisational structure and reporting lines for multiple initiatives (10 marks)

KMCH's existing functional structure may be adequate for normal rental operations, but it appears insufficient for the current growth agenda. The company is simultaneously considering EV/hybrid adoption, corporate partnerships, possible Islamabad expansion, depot restructuring and IT upgrades. If accountability remains dispersed, projects may suffer from unclear ownership, duplicated work and weak follow-through.

Recommended structure

- Create a small Strategic Projects and Partnerships function reporting to the CEO. This function should coordinate major initiatives, including EV pilot, hotel/airline partnerships, corporate travel arrangements, Islamabad readiness and service-improvement projects.
- Keep day-to-day depot operations under Operations, but do not make depot managers responsible for negotiating or managing strategic alliances. Depot managers should execute agreed service standards and report performance data.
- Assign Sales and Marketing Director, Zara Khan, responsibility for commercial terms, partner relationship management, customer segmentation and brand positioning, but ensure Operations and Finance approve service commitments and pricing before contracts are signed.
- Establish cross-functional project teams for major initiatives. For example, the EV pilot team should include Operations, Fleet, IT, Finance, HR/training, Customer Experience and Tax.
- Strengthen service-level reporting. A named manager should monitor partner-specific KPIs such as on-time pickup, vehicle availability, complaint resolution, billing accuracy, customer satisfaction and penalties.
- Create a Board or executive steering committee for major capital projects, with monthly reporting on cost, timelines, utilisation, risks and benefits realisation.
- Clarify reporting lines between Fleet, IT and Operations for telematics, battery health, charger downtime and maintenance data. Without this, EV operational information may not be acted upon quickly.
- Avoid over-centralisation. The Strategic Projects and Partnerships function should coordinate and monitor; operational accountability must still remain with functional heads who control resources.

The revised structure should also include clear decision rights. Sales and Marketing should lead customer acquisition and partner negotiations; Operations should approve service feasibility and vehicle availability; Fleet should own vehicle reliability and maintenance standards; IT should own platform, dashboard and data integration; Finance should validate pricing and profitability; and Customer Experience should monitor complaints and service recovery. This will reduce the risk that strategic initiatives are approved commercially but fail operationally.

The Board should therefore approve the structure before approving major partnership commitments. Without clear ownership, the EV pilot, partnerships, Islamabad expansion and depot restructuring may compete for the same management attention and operational resources.

Conclusion

KMCH should revise its structure before signing partnership or EV commitments. The main objective should be clear ownership, cross-functional coordination and Board visibility over major initiatives. This will reduce the risk that strategic projects are approved but poorly implemented.

Question 2(d) - ROCE and capital efficiency impact (10 marks)

The Chair is concerned that KMCH should approve projects that improve capital efficiency and help the company move towards its 15% ROCE target. The EV / hybrid pilot should therefore be assessed not only on its positive NPV, but also on its impact on accounting returns and capital employed.

Calculation

Rs million	**Amount**
Base case EBIT before EV pilot	280.0
Base capital employed	2,210.0
Existing ROCE before EV pilot	12.7%
Incremental operating cash flow from EV pilot - Year 1	214.0
Accounting depreciation: (Rs 759m - Rs 328m residual) / 5 years	(86.2)
Incremental EBIT from EV pilot - Year 1	127.8
Pilot carrying amount after Year 1 depreciation	672.8
Project-specific ROCE in Year 1: 127.8 / 672.8	19.0%
Total EBIT after EV pilot	407.8
Capital employed after pilot	2,882.8
Overall ROCE after pilot	14.1%

If the initial capital employed of Rs 759 million is used instead of the year-end carrying amount, the project-specific ROCE would be approximately **16.8%** and the overall ROCE would be approximately **13.7%**. On either basis, the project's own accounting return is above KMCH's existing ROCE of 12.7%.

Interpretation

The EV / hybrid pilot has a positive impact on KMCH's capital efficiency. The company's existing ROCE is approximately 12.7%, while the pilot generates a first-year project ROCE of about 19% using year-end carrying amount, or about 16.8% using initial capital employed. Therefore, the project earns a higher accounting return than KMCH's current business and improves the overall company ROCE to approximately 14.1%.

Although the overall ROCE after the project is still slightly below the Board's 15% target, the project moves KMCH closer to the target rather than pushing it further away. This is important because the Board's concern should not be whether the EV pilot immediately achieves 15% overall ROCE, but whether it improves the return profile of the company and supports future progress towards the target.

The project is capital intensive because it requires investment in vehicles, charging infrastructure, telematics integration and training. However, the incremental EBIT generated in Year 1 is strong enough to compensate for the additional capital employed. This is consistent with the positive NPV result and suggests that the pilot is not merely strategically attractive, but also financially value-enhancing.

The ROCE profile may improve further in later years. As depreciation reduces the carrying amount of the EV / hybrid assets, capital employed will decline. At the same time, utilisation may improve as corporate customers become more familiar with the service, charging processes stabilise, chauffeurs become better trained and KMCH develops stronger ESG mobility packages. If EBIT grows while carrying value falls, project ROCE should increase over time.

However, this conclusion depends on achieving the operational assumptions in the forecast. The project ROCE will be lower if utilisation is below expectation, if the premium rental rate cannot be sustained, if vehicle downtime increases due to charging or maintenance problems, or if battery / specialist repair costs are higher than forecast. Therefore, the Board should monitor the project's ROCE separately from the overall company ROCE.

The EV / hybrid pilot may also improve capital efficiency in a strategic sense. It could help KMCH win premium corporate and airport-transfer customers, support higher pricing, reduce fuel and maintenance exposure, and differentiate the brand from lower-cost operators. These benefits may strengthen future EBIT and improve utilisation across the premium fleet.

The Board should still compare the project with other competing uses of capital, such as Islamabad expansion, IT upgrades and depot restructuring. Since KMCH is capital constrained, a project that improves ROCE should still be assessed against NPV, risk, strategic fit, cash-flow timing and implementation capacity.

The financing method may affect reported capital employed and performance interpretation. If vehicles are leased, the accounting treatment may create right-of-use assets and lease liabilities, while vendor financing may result in KMCH carrying the assets and related liabilities even if legal title transfers later. Therefore, performance reporting should be clear and consistent when comparing the EV pilot with other projects.

Conclusion

The EV / hybrid pilot should not be viewed as weakening ROCE. It appears to improve KMCH's overall ROCE from 12.7% to approximately 14.1% in the first full year and generates a project-specific ROCE of around 19% using year-end carrying amount. Although the overall company ROCE remains slightly below the 15% target, the project moves KMCH closer to that target and may improve further in later years as utilisation increases and asset carrying values decline.

The Board should therefore treat the ROCE impact as supportive of the project, subject to monitoring utilisation, pricing, downtime, maintenance costs and capital discipline through a controlled pilot.

Question 3

Question 3(a) - Premium corporate ESG mobility product vs mass-market rental offering (10 marks)

KMCH should position the EV/hybrid pilot as a premium corporate ESG mobility product rather than a mass-market rental offering. This is more consistent with the limited scale of the pilot, the higher capital cost of EVs/hybrids and KMCH's premium brand.

Reasons supporting premium corporate ESG positioning

- Fit with customer demand: Three large corporate customers have already asked for lower-emission vehicles for executive travel and airport transfers. One customer will include carbon-reduction initiatives in procurement scoring from 2027, and another wants monthly emissions-savings reporting.
- Pricing power: Corporate ESG users are more likely to pay a premium for reliable, lower-emission executive mobility. Mass-market rental customers may be more price sensitive and less willing to absorb the higher cost of EVs.
- Operational control: Corporate airport transfers and chauffeur-driven city routes are predictable. This reduces charging, range and route-planning risk compared with broad self-drive or long-distance use.
- Brand consistency: A carefully managed premium ESG product enhances KMCH's premium positioning. A mass-market launch could dilute the brand and expose KMCH to wider service failures before the operating model is proven.
- Reporting opportunity: KMCH can provide corporate customers with estimated emissions-savings reports, supporting customer procurement requirements and strengthening account retention.

Risks and limitations

- The ESG proposition must be genuine. KMCH should avoid overstating emissions benefits, especially if electricity is generated from high-carbon sources or if charging uses backup generators.
- Premium customers are less tolerant of service failures. A missed airport pickup or charging-related delay would damage the EV proposition and KMCH's overall brand.
- Corporate ESG demand may be narrower than expected. KMCH should not assume that all corporate customers will pay premium prices without formal commitments or trial contracts.

The positioning should also be supported by a differentiated service package rather than simply a different vehicle type. This could include dedicated executive chauffeurs, airport meet-and-greet, monthly emissions reporting, guaranteed replacement vehicle, priority booking windows and partner-hotel pickup standards. If these elements are missing, the EV/hybrid pilot may be seen as a normal rental product with a green label rather than a premium ESG mobility solution.

Success measures should include premium utilisation, repeat corporate bookings, on-time pickup, customer satisfaction, complaint rate, charger uptime, vehicle availability, emissions reporting reliability and contribution per vehicle. Without these KPIs, the Board will not know whether the ESG positioning is commercially successful.

KMCH should also manage greenwashing risk. Claims about lower emissions should be supported by reasonable data, such as vehicle energy consumption, estimated avoided fuel use and assumptions on electricity source. The company should avoid claiming the service is carbon neutral unless verified.

Pricing should reflect the premium promise. If KMCH prices the EV product too close to normal ICE rentals, it may not recover the higher capital cost, training, charging infrastructure and technology integration. If it prices too high without clear ESG reporting and service differentiation, customers may view it as a cosmetic sustainability premium.

A mass-market launch would expose the pilot to price-sensitive customers, unpredictable routes and greater risk of misuse, charging non-compliance or damage disputes. This would increase operational risk before KMCH has developed sufficient internal learning.

Partnerships with hotels, airlines and corporate travel managers can support this positioning. These partners already serve premium customers and can provide controlled demand, but KMCH should only accept service-level obligations that it can meet with the available EV fleet and charging network.

The product should be sold as a complete service proposition, not merely as an EV rental. The proposition may include trained chauffeurs, airport meet-and-greet, priority replacement vehicle, emissions / energy-use reporting, monthly corporate account statements and dedicated service recovery channels.

Conclusion

The pilot should be marketed as a controlled premium corporate ESG product, initially focused on executive travel, airport transfers and selected corporate leasing. KMCH should avoid mass-market launch until utilisation, charging reliability, maintenance capability and customer satisfaction are proven.

Question 3(b) - Income tax / sales tax concessions, restrictions and documentation issues (10 marks)

The tax treatment of the proposed vehicle purchase / replacement should be assessed separately under the Income Tax Ordinance, 2001, the Sales Tax Act, 1990 and the relevant provincial sales tax laws.

For **income tax**, motor vehicles used in the business should generally qualify as depreciable assets. The Income Tax Ordinance allows depreciation on depreciable assets used in business, and the Third Schedule specifies the depreciation rate for motor vehicles. If a vehicle is disposed of, no depreciation is allowed in the year of disposal, and any excess of sale consideration over tax written-down value is taxable as business income, while any shortfall is allowable as a deduction.

Initial allowance may also be relevant where an eligible depreciable asset is placed into service in Pakistan for the first time. However, road transport vehicles are excluded from initial allowance unless the vehicle is "plying for hire". Therefore, for a car-rental business, the availability of initial allowance should be considered, subject to the detailed conditions of section 23 and the nature of use of the vehicles.

If vehicles are financed through debt or lease arrangements, profit on debt and qualifying lease rentals are generally deductible where the borrowing or leased asset is used for business purposes. However, the deduction depends on the nature of the arrangement, the lender / lessor, documentation and any restrictions contained in the Ordinance.

For **federal sales tax**, the Sales Tax Act restricts input tax recovery where goods or services are used for purposes other than taxable supplies, where goods or services are not related to taxable supplies, or where they are acquired for personal or non-business use. If a registered person makes both taxable and non-taxable supplies, input tax must be apportioned and only the proportion attributable to taxable supplies may be claimed.

There are also specific EV-related sales tax rules. Locally manufactured or assembled four-wheel electric vehicles, including small cars / SUVs with battery capacity of 50 kWh or below and light commercial vehicles with 150 kWh battery or below, are subject to 1% sales tax if supplied locally up to 30 June 2026. Locally manufactured hybrid electric vehicles are subject to reduced rates of 8.5% up to 1800cc and 12.75% from 1801cc to 2500cc up to 30 June 2026. Electric vehicles in CBU condition with 50 kWh battery or below are subject to 12.5% sales tax.

Where locally manufactured electric vehicles are subject to reduced rate under the Eighth Schedule, input tax is limited to the extent of output tax, and no refund or carry-forward of excess input tax is allowed. Therefore, reduced-rate EV purchases may create restricted input tax recovery rather than full recoverability.

For provincial sales tax, rent-a-car / automobile rental services are generally taxable services under the relevant provincial sales tax laws. However, the input tax treatment depends on the province and the applicable rate regime. Where the service is taxed at a reduced rate, input tax adjustment is often not admissible. For example, Sindh's reduced-rate schedule provides that input tax deduction is not admissible against output tax paid on services listed in the reduced-rate part, subject to specific exceptions / options. Khyber Pakhtunkhwa's schedule also refers to certain reduced-rate services being taxable "without any input tax adjustment."

Therefore, KMCH should not assume that sales tax paid on vehicles, spare parts, repairs, chargers, telematics or other inputs will be recoverable merely because its rental services are taxable. If the relevant vehicle rental / chauffeur / app-based service is charged at a reduced provincial sales tax rate without input adjustment, the related input tax may become a cost of the business and should be included in the financial appraisal. If a province allows an option to pay the standard rate with input adjustment, KMCH should compare the commercial impact of both options before finalising pricing and tax assumptions.

The company should therefore not assume that all sales tax paid on vehicles, repairs, spares, chargers, services or relocation costs will be fully recoverable. Recovery will depend on whether the supplies are taxable, exempt, reduced-rated or non-taxable; whether the input relates directly to taxable business activity; whether provincial law bars adjustment; and whether valid tax invoices and registration documentation are available.

Conclusion: The financial model should separately identify income tax depreciation / disposal effects, deductibility of finance or lease costs, federal sales tax on EV / hybrid purchases, provincial sales tax on rental services, and any restrictions on input tax recovery. A tax review should be performed before finalising the restructuring or vehicle replacement decision.

Question 3(c) - Recommendation on whether to proceed, defer or run a smaller trial (10 marks)

The Board should not reject the EV/hybrid pilot, because the base case NPV is positive, corporate customers are beginning to demand lower-emission mobility, and early learning may help KMCH protect its premium market position. However, the Board should also not approve the full pilot without conditions, because the project creates operational, funding, ROCE, tax and residual-value risks.

Arguments for proceeding

- Positive base case NPV: The project has a base case NPV of approximately Rs 155 million using a 15% discount rate, indicating expected value creation.
- Strategic fit: The proposal supports premium corporate leasing, airport transfers and chauffeur-driven services, which are aligned with KMCH's existing positioning.
- Customer retention: Corporate customers are beginning to include emissions reduction in procurement requirements. Delaying too long may put KMCH at a disadvantage with important accounts.
- Cost learning: The pilot will allow KMCH to understand EV maintenance, charging costs, battery performance and customer acceptance before making larger fleet commitments.
- ESG positioning: A controlled EV/hybrid product could strengthen KMCH's reputation with premium customers and institutional investors.

Arguments against immediate full approval

- Utilisation risk is significant. A 10% reduction in EV utilisation reduces NPV by approximately Rs 59 million, making utilisation the most important value driver.
- ROCE pressure: The pilot may reduce ROCE to around 14.1%, below the Board target of 15%, due to the large capital investment and depreciation charge.
- Operational readiness is not yet proven. KMCH lacks a consolidated battery-health, charging and charger-downtime dashboard. SOPs, driver training and vendor support are required before launch.
- Residual value uncertainty: Pakistan's used-EV market is shallow, and resale values may be affected by battery technology changes.
- Tax assumptions require verification. EV concessions, input tax recovery, grant treatment and provincial sales tax issues must be confirmed before the appraisal is finalised.
- Funding pressure: KMCH is also considering IT upgrades, Islamabad expansion and depot restructuring. Approving the full pilot could reduce financial flexibility.

Recommended approach

The preferred recommendation is to approve a smaller phased pilot rather than the full 50-vehicle project immediately. For example, KMCH could begin with a smaller fleet focused on Karachi and Lahore corporate airport transfers and selected executive mobility customers, with expansion only after performance milestones are met.

The Board should set approval conditions:

- obtain signed or highly probable commitments from selected corporate customers or hotel / airline partners;
- complete charging readiness assessment for depots and partner locations;
- finalise vendor SLAs for battery warranty, spare parts, diagnostics and replacement vehicles;
- implement telematics enhancements for battery health, charging status and charger downtime;

- complete driver, chauffeur and depot staff training;
- confirm tax treatment of grants, input tax, provincial sales tax and residual disposals;
- cap total initial investment and require Board approval before scaling beyond the pilot;
- monitor KPIs such as utilisation, availability, customer satisfaction, cost per km, charger uptime, maintenance downtime, emissions reporting and ROCE.

Final conclusion

KMCH should proceed cautiously through a smaller controlled trial rather than a full immediate rollout. This balances strategic opportunity with financial discipline. If the pilot achieves agreed utilisation, service quality, tax, cost and customer-demand milestones, the Board can then approve a scaled rollout with greater confidence.